ARDEN ENVIRONMENTAL QUALITY BOARD — DRAFT METHODOLOGY

Calculation of the Producer Assessment under section 7-020

Concept draft for internal review. Not proposed for adoption. Circulated 8 August 2025.

1. Purpose and authority

Section 7-020(1)(b) directs the Board to establish by regulation the methodology for calculating the assessment based on estimated carbon dioxide equivalent generated from the fossil fuel products sold in the State. Section 7-020(1)(a) provides that the assessment is based on the pro-rata sales of those products over the measuring period. This draft proceeds on subsection (1)(b) without prejudice to the relationship between the two.

2. Steps

Step one: for each entity meeting the definition in section 7-019(k), obtain in-state sales of fossil fuel products over the measuring period, by product class, from the entity's return and its statement of product mix.

Step two: convert sales to estimated carbon dioxide equivalent by applying the factor for the product class. Factors are expressed per million dollars of sales and are set out in the technical annex. The factors assume that the product sold is combusted.

Step three: sum the estimated equivalent across all covered entities to obtain the aggregate.

Step four: allocate the total assessment among covered entities in the proportion that each entity's estimated equivalent bears to the aggregate.

3. Why sales rather than volume

The Board does not hold volume data for all product classes and for all sellers. Sales are reported on Form SE-4 and are available for every seller above the reporting floor. The Board recognises that a factor expressed per dollar of sales varies with price and has provided for periodic revision. The Board's estimate is that a factor revised annually tracks the physical quantity within about 7.5 per cent.

4. Consequence of the choice of basis

A methodology on this basis will not allocate the assessment in the same proportions as an allocation on sales alone, because the factor differs between product classes. The difference for any entity depends on that entity's product mix. The Board makes no recommendation as to which basis better reflects the purpose of the Act; that is a question on the construction of the section.

5. Matters not settled by this draft

Whether an entity that met the definition at the eligibility date but has since ceased to meet it remains liable. Whether an entity's instalments are recomputed if the aggregate changes. The treatment of sales for which the product class is not recorded.

6. Worked illustration

The Division sets out an illustration to make the steps concrete. The figures are illustrative and are not those of any seller. Suppose two covered entities, A and B. A has window in-state sales of $1,000M, wholly refined products; B has $1,000M, wholly natural gas. On an allocation by sales the two bear equal shares. On an allocation by estimated equivalent A bears the larger share, in the ratio of the two factors. The Division draws attention to this because it is the whole of the difference between the two subsections, and because the direction of the difference depends only on product mix and not on the size of the seller.

7. Treatment of particular cases

Mixed product classes. Where a seller's return does not separate product classes, the Division proposes to apply the mix stated in the seller's statement of product mix, and in the absence of a statement, the

statewide mix for the year.

Resales within the State. Where a product is sold more than once within the State before combustion, the assessment as drafted attaches to each sale by a covered entity. The Division does not read the section as permitting a credit for a prior sale and notes that this may result in the same physical quantity being counted twice where two covered entities are in the chain. Whether that is intended is a question for the Legislature.

Product sold for export. The section attaches to sales in the State without regard to where the product is combusted. The Division reads it accordingly and notes that a seller whose in-state sales are to a purchaser who removes the product from the State bears the same charge as one whose purchaser burns it here.

Sales to governmental purchasers. The section provides no exemption. The Division reads it as reaching sales to the State and its subdivisions, with the consequence that part of the fund is contributed indirectly by the public purse.

8. Administrative burden and timetable

The Division estimates the work of applying the methodology at 9 full-time equivalents in the first year and 1 thereafter, on the assumption that the number of covered entities is in single figures. If the covered class proves larger the estimate should be revised. The Division cannot complete the methodology until it knows which entities are covered, and it has no authority to determine that question.

9. What this draft does not do

It does not determine which entities are covered; that turns on section 7-019, over which the Board has no rulemaking authority. It does not resolve the relationship between subsections (1)(a) and (1)(b). It does not fix the factors, which are in the technical annex and are proposed for annual revision. And it does not address the instalment mechanism, on which the section is silent as to interest and as to a payer that ceases to be covered.

Comments to the Air and Climate Division.